Calendar Line # 3

Case Name James Bodwin vs Persimmons, Inc. et al

Case No. 24CV438701

Motion for Sanctions

I. BACKGROUND

A. BRIEF FACTUAL BACKGROUND

On May 9, 2024, Plaintiff/Cross-Defendants James Bodwin ("Bodwin") filed a Complaint against Defendants/ Cross-Complainants Valerie Chan, Eugene Feinberg, and Persimmons, Inc. (collectively "Defendants/ Cross-Complainants") asserting thirteen causes of actions: (1) Breach of Contract [against defendant Persimmons]; (2) Fraudulent Inducement; (3) Wrongful Termination in Violation of Labor Code §1102.5; (4) Retaliation and Wrongful Termination in Violation of Public Policy; (5) Negligent Misrepresentation; (6) Breach of Fiduciary Duty; (7) Aiding and Abetting Breach of Fiduciary Duty; (8) Breach of Loyalty; (9) Unjust Enrichment; (10) Accounting; (11) Fraud; (12) Unfair Business Practices in Violation of Bus. & Prof. Code §17200 et seq.; and (13) Declaratory and Injunctive Relief.

B. RELEVANT PROCEDURAL BACKGROUND

On November 10, 2025, Defendant Persimmons filed a motion for judgment on the pleadings directed at the first cause of action, breach of contract. On May 5, 2026, after hearing the motion, the court denied Defendant Permissions motion for judgment on the pleadings.

On April 10, 2026 Defendants filed a motion for summary judgment that was heard on July 2, 2026 before the Honorable Socrates Manoukian. After the hearing, the court took the matter under submission. On July 7, 2026, Judge Manoukian issued an order granting Defendant's motion for summary adjudication of the first, sixth, seventh, and eight causes of action, and denying motion for summary adjudication of the second, fifth, eleventh, and thirteenth causes of action.

C. PRESENT MOTION

Before the court is Defendant/ Cross-Complainant Persimmons motion seeking sanctions against Plaintiff/Cross-Defendant Bodwin and Plaintiff's counsel under Code of Civil Procedure section 128.7, for refusing to dismiss the first cause of action, breach of contract. The motion was filed on December 19, 2025. The motion was accompanied by a proof of service indicating electronic service. Notice is proper. Plaintiff filed an Opposition on August 19, 2026. Defendant Persimmons filed a reply brief on August 25, 2026.

The Court has carefully reviewed the following: Defendant Persimmons' notice of motion and memorandum of points and authorities (totaling 15 pages); Declaration of Valerie Chan and attached Exhibits 1-3 (totaling 52 pages); Declaration of John D. Pernick (totaling 2 pages); Plaintiff's Opposition (totaling 18 pages); Declaration of Micah Jones in support of Plaintiff's Opposition (totaling 9 pages); Defendant's Reply brief (totaling 19 pages); proofs of services; and the pleadings.

II. LEGAL STANDARD

A. CODE OF CIVIL PROCEDURE SECTION 128.7

Pursuant to Code of Civil Procedure section 128.7, a court may impose sanctions on a party or attorney that presents a pleading, petition, motion, or other similar papers in the following circumstances:

(1) The document is presented primarily for an improper purpose, such as to harass or to cause unnecessary delay or needless increase in the cost of litigation.

(2) The claims, defenses, and other legal contentions therein are not warranted by existing law or by a nonfrivolous argument for the extension, modification, or reversal of existing law or the establishment of new law.
(3) The allegations and other factual contentions have no evidentiary support.
(4) The denials of factual contentions are not warranted on the evidence.

Under section 128.7, the court may impose monetary sanctions on an attorney or unrepresented party that violates any one of the requirements set forth above. (Code of Civ. Proc., §128.7; *Eichenbaum v. Alon* (2003) 106 Cal App 4th 967, 976). The standard set forth under 128.7 is that the Court find the conduct to be ***objectively unreasonable***, and does not require a finding of subjective bad faith. (*In re Marriage of Reese & Guy* (1999) 73 Cal. App. 4th 1214, 1221).

A court ***may*** impose sanctions if it concludes a pleading was filed for an improper purpose or was indisputably without merit, either legally or factually. (Code of Civ. Proc., §128.7; *Bucur v. Ahmad* (2016) 244 Cal.App.4th 175, 189–190). A claim is factually frivolous if it is "not well grounded in fact" and is legally frivolous if it is "not warranted by existing law or a good faith argument for the extension, modification, or reversal of existing law." (*Ibid*.). In either case, to obtain sanctions, the moving party must show the party's conduct in asserting the claim was objectively unreasonable. (*Ibid*.) ***A claim is objectively unreasonable if "any reasonable attorney would agree that [it] is totally and completely without merit."*** (*Ibid*.)(emphasis added).

However, ***"section 128.7 sanctions should be 'made with restraint'*** *[Citation],* ***and are not mandatory even if a claim is frivolous."*** (*Peake v. Underwood* (2014) 227 Cal.App.4th 428, 448)(emphasis added).

The Legislature enacted section 128.7 based on Federal Rules of Civil Procedure, 28 U.S.C., rule 11 (as amended in 1993). (*Musaelian v. Adams* (2009) 45 Cal.4th 512, 518, fn. 2). Hence, federal case law construing rule 11 is persuasive authority on the meaning of section 128.7. (*Guillemin v. Stein* (2002) 104 Cal.App.4th 156, 168). Under rule 11, even though an action may not be frivolous when it is filed, it may become so if later-acquired evidence refutes the findings of a prefiling investigation and the attorney continues to file papers supporting the client's claims. (*Childs v. State Farm Mut. Auto. Ins. Co.* (5th Cir.1994) 29 F.3d 1018, 1025). As a result, a plaintiff's attorney cannot "just cling tenaciously to the investigation he had done at the outset of the litigation and bury his head in the sand." (*Ibid*.). Rule 11 requires an attorney to conduct a reasonable inquiry to determine if his or her client's claim was well-grounded in fact and to take into account the adverse party's evidence during the pendency of litigation. (*Ibid*.).

B. SAFE HARBOR

Code of Civil Procedure section 128.7(c)(1) also requires that a motion for sanctions be made separately from other motions and that notice of the motion must be served, but not filed with the Court, unless, within 21 days after service of the motion, the challenged paper is not withdrawn. This 21-day time period is known as a "safe harbor" period. The purpose of a safe harbor period is to allow a party to avoid sanctions by withdrawing the improper pleading during the 21-day period. (*Li v. Majestic Industry Hills LLC* (2009) 177 Cal. App. 4th 585, 591). This permits a party to withdraw a questionable pleading without penalty, and promotes judicial economy and resources. (*Ibid*.).

III. <u>ANALYSIS</u>

Here, Defendant/Cross-Complainant Persimmons seeks monetary sanctions against Plaintiff Bodwin and his attorney for refusing to dismiss the first cause of action, alleging breach of contract in the Complaint, in the amount of $20,000.00. (Declaration of Pernick, ⁋ 3).

Defense counsel attests that on October 6, 2025, he met-and-conferred with Plaintiff's counsel regarding this motion for sanctions. (Declaration of Pernick, ⁋ 2). Plaintiff refused to dismiss his first cause action. (*Id.*). On December 19, 2025, Defendant Persimmons filed this motion for sanctions.

The Court finds that the Defendant has complied with safe harbor period as required under Code of Civil Procedure section 128.7(c)(1).

Defendant seeks sanctions against the Plaintiff and his counsel on the grounds that the pleadings wholly lack factual merit. (Defendant's motion, p. 14). Defendant asserts that Plaintiff/Cross-Defendant Bodwin's allegations regarding his entitlement to 3,000.000 share in addition to the 3,000,000 share under RSPA lack any evidentiary basis or factual merit, and thus his first cause of action for breach of contract is frivolous. (Declaration of Chan, ⁋⁋ 3; Exhibits 2-3; Defendant's motion, p. 15). Defendants assert that at the time Plaintiff Bodwin separated from the company, he had a total of 500,000 vested shares in Defendant Persimmons. (Declaration of Chan, ⁋ 4). Defendants assert that on its face, the Assignment Agreement and RSPA can only be interpreted to mean that Plaintiff Bodwin agreed to give Persimmons $30 worth of consideration, comprised of the assignment of his intellectual property under the Assignment Agreement and $15 in cash, in exchange for 3,000,000 shares of Persimmons common stock. (Defendant's Motion, p. 6). Defense emphasizes that Plaintiff Bodwin did not have a different understanding or disagreement with these terms. (Declaration of Chan, ⁋ 2; Exhibit 1).

However, the turning point, defense asserts is only after Plaintiff Bodwin met his current counsel and filed a Complaint seeking 6,000,000 shares under the Assignment Agreement and RSPA. (Defendant's Motion, p. 7). Defendant/Cross-Complaint assert that the first cause of action as brought in bad faith. (*Id.,* at 7-14). Defendant emphasizes that given the nature of conduct and defenses multiple attempts to informally resolve the issue, the Plaintiff/Cross-Defendant's refusal to dismiss the first cause of action, breach of contract claim, notwithstanding documents showing a lack of factual merit, justifies the imposition of actions. (Defendant's Motion, p. 14-15). Defense counsel asserts that Defendants will incur approximately $20,000.00 in attorney's fees and costs for bringing this motion, which includes cost of pre-motion correspondence, that the motion, a reply in support of the motion, and preparation and attendance of the hearing. (*Id.*). Defense seeks an order imposing $10,000.00 on the Plaintiff/Cross-Defendant Bowdin, individually and $10,000.00 against his counsel as a means to ". . . deter them from engaging in similar conduct in the future." (Defendant's motion, p. 14).

Since that time, the parties have litigated motions involving the first cause of action. Defendant's motion for judgment on the pleadings on the first cause of action on May 5, 2026, which was denied. On July 2, 2026, the Honorable Manoukian heard Defendant's motion for summary adjudication and submitted an order on July 7, 2026, granting Defendant's motion for summary adjudication of the first, sixth, seventh, and eight causes of action, and denying motion for summary adjudication of the second, fifth, eleventh, and thirteenth causes of action. Defendant requests that the Court find that the first cause of action lacks and evidentiary basis. The Court denies this request on the grounds that this claim was already adjudicated in Defendant's favor on July 7, 2026 per Judge Manoukian's Order.

Plaintiff/Cross-Defendant Bodwin opposes this present motion and asserts that the breach of contract claim was not baseless, frivolous, or in bad faith. Plaintiff's counsel asserts that it was fulfilling its duty to conduct a reasonable inquiry into the facts and circumstances underlying the breach of contract that also included a review of the express terms of the Assignment Agreement. (Declaration of Jacobs ⁋⁋ 6-9 ;Opposition, p. 5). Plaintiff's counsel argues that express language in the Assignment Agreement supports Plaintiff's plausible interpretation that the contract provided for additional shares. (Opposition, at p. 6). Even if the Court ultimately read the agreement different, as per Judge Manoukian's July 7, 2026 Order, Plaintiff avers that this does not render Plaintiff's interpretation as objectively unreasonable. (Declaration of Jacobs ⁋ 11). Plaintiff also points to the ruling granting in part and denying in part certain causes of actions as evidence that the claims were not baseless or fruitless. (*Id.*).

Plaintiff's counsel emphasizes that the Honorable Socrates Manoukian[1] "wrestled with the merits of Bodwin's claim" and that Judge Manoukian " . . . commend[ed] both parties' counsel for being "[g]ood lawyers writing good papers. . ." and acknowledging the challenge it faced in issuing its difficult decision. . ." (Opposition, p. 5). Plaintiff again notes that Judge Manoukian noted , ""[g]ood lawyers writing good papers on complex cases are a challenge for a judge ruling on a summary judgment motion." (Opposition, p. 6). Plaintiff also notes that Judge Manoukian also expressly stated, "[a]ccordingly, the Court is faced with an issue of contract interpretation." (*Id.,* at p. 10). Plaintiffs offers these remarks as evidence that the first cause of action was not frivolous, subject to a reasonable dispute over the interpretation of an agreement that warranted a judicial determination. (*Id.,* at p. 11).

Any references to comments made by the Honorable Socrate Manoukian from the July 2, 2026 noted above is hearsay. There is not attached certified court transcript. The Court will not consider the truth of the matter asserted.

Plaintiff asserts a legitimate contract-interpretation dispute arose and was settled after the motion for summary judgment/adjudication hearing. Plaintiff asserts that the dismissal of the first cause of action was based on a legitimate interpretation disagreement of the parties' agreement and does not equate to sanctionable conduct. Plaintiff assert that Defendant Persimmons cannot establish that the claim was frivolous, objectively unreasonable, or brought for an improper purpose. (*Id.,* at p. 7). After the court granted the summary adjudication on the first cause of action, and before this hearing, Plaintiff's counsel attempted to meet-and-confer with defense regarding withdrawing the motion, but Defendant refused. (Declaration of Jacobs ⁋ 12; Exhibit 1). As a result, Plaintiff expended substantial time reviewing and preparing for this motion and as of August 19, 2026 incurred $11,397.00 and anticipates spending another three hours at the hourly rate of $530.00 in the matter. (*Id.,* at ⁋ 15). The Court DENIES the request for fees and costs on the grounds that Plaintiff has not filed its own separate motion or complied with safe harbor rules.

Defendant fails to demonstrate that first cause of action for breach of contract is frivolous within the meaning of section 128.7. Defendant has not established that Plaintiff/Cross-Defendant Bodwin or his attorney asserted a false contractual interpretation, acted in bad faith, or lacked objective reasonable basis for conducting investigation into the agreements regarding the claim. Even if the first cause of action was deemed objectively unreasonable in that any reasonable attorney would agree that the claim is totally and completely without merit, section 128.7 should be exercised with restraint. (Code of Civ. Proc., §128.7; *Bucur v. Ahmad, supra,* 244 Cal.App.4th at 189–190; *Peake v. Underwood, supra,* 227 Cal.App.4th at 448).

IV. <u>CONCLUSION</u>

Based on the foregoing, the motion is DENIED. The Court will prepare the formal Order.

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Calendar Line # 4
Case Name Curtis Edwad McGovert vs Q2 Fiber Communications Inc. et al
Case No. 25CV456187

Motion to Compel Responses to For Interrogatories, Special Interrogatories, and Request for Production of Documents, Set One and Sanctions

I. BACKGROUND

This case stems from a January 13, 2023, motor-vehicle incident. On January 9, 2025, Plaintiffs Curtis Edward McGovert, and Maile Rose McGovert, a minor, by and through her Guardian Ad Litem, Marilyn Javier Gil (collectively "Plaintiffs") filed a Complaint alleging two causes of actions and seeking damages against Defendants Q2 Fiber Communications Inc. ("Q2 Fiber"), and Derik Ryan Punneo (collectively "Defendants").

Before the Court is Defendant Q2 Fiber's motion to compel verified responses to form interrogoatires ("FROG"), special interrogoatires ("SROG"), request for production of documents ("RFPD"), set one, and sanctions that was filed on March 2, 2026. The motion is accompanied by a proof of service indicating electronic mail service on Plaintiffs' counsel of record.

The motion to compel is unopposed. Per Code of Civil Procedure section 1005(b) opposition papers were due on August 19, 2026. A failure to oppose a motion may be deemed a consent to the granting of the motion. (California Rule of Court Rule 8.54(c); *Sexton v. Superior Court* (1997) 58 Cal.App.4th 1403, 1410). Failure to oppose a motion leads to the presumption that the defendant has no meritorious arguments. (*Laguna Auto Body v. Farmers Ins. Exchange* (1991) 231 Cal.App.3d 481, 489).

The Court has carefully reviewed the following: notice of motion to compel (totaling 4 pages), memorandum of points and authorities (totaling 8 pages); Declaration of Jiaxun Fu and attached Exhibits A- C (totaling 41 pages); proof of service; and the pleadings.

II. LEGAL STANDARD

Purusant to Code of Civil Procedure section 2030.260(a), a party must respond to interrogatories within 30 days after service. If a party to whom interrogatories are directed does not provide a timely response, the propounding party may move for an order compelling response to the interrogatories. (*Id.*, § 2030.290, subd. (b)). There is no time limit for a motion to compel initial responses, and no meet and confer efforts are required. (*Id; see also, Sinaiko Healthcare Consulting, Inc. v. Pacific Healthcare Consultants* (2007) 148 Cal.App.4th 390, 411). Nor must a separate statement be filed. (Cal. Rules of Court, rule 3.1345(b)(1)). In addition, a party who fails to provide a timely response generally waives all objections. (Code Civ. Proc., § 2030.290, subd. (a)).

A party must respond to interrogatories and document requests under oath. (Code Civ. Proc., §§ 2020.010(a), 2030.210(a); 2031.250(a)). An unverified discovery response is treated as no response. (*Steele v. Totah* (1986) 180 Cal.App.3d 545, 549; *Appleton v. Sup. Ct.* (1988) 206 Cal.App.3d 632, 636-37). In such a case, the propounding party may seek to compel verified responses. (*Id.*). Code of Civil Procedure section 2015.5 provides that a verification must be signed under penalty of perjury and state the date and place of execution. "[C]ourts do not find compliance with section 2015.5 to be both substantial and sufficient unless all statutory conditions appear on the face of the declaration in some form." (*Kulshrestha v. First Union Commercial Corp.* (2004) 33 Cal.4th 601, 612).

California courts have taken a liberal approach to permissible discovery, which has led the courts to resolve any doubt in favor of permitting discovery. (*Pacific Tel. & Tel. Co. v. Superior Court* (1970) 2 Cal.3d 161, 173 ("In accordance with the liberal policies underlying the discovery procedures, California courts have been broad-minded